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INDUSTRY RESEARCH

Q1 2025 Healthcare Services PE Update

PitchBook is a Morningstar company providing the most comprehensive, most accurate, and hard-to-find data for professionals doing business in the private markets.

Key takeaways

- After a muted year for healthcare services deal activity, 2025 appears poised to present even greater challenges for dealmaking—even before considering the “Liberation Day” tariff announcements and subsequent market convulsions.
- In March, Sycamore Partners announced its take-private acquisition of Walgreens Boots Alliance, marking the largest healthcare buyout in recent years. The deal, backed by over \$13 billion in debt, is likely to lead to closures of unprofitable locations and accelerate the ongoing deprioritization of Walgreens’ nascent primary care efforts.
- While industry contacts have previously downplayed interest rates as a deciding factor, renewed uncertainty around inflation and broader economic headwinds has brought rates back into focus. Investors are watching for signs of shifting rate policies, though rising uncertainty may force the Fed into a holding pattern.
- Despite the downturn in PE deals, the past three quarters marked the highest stretch of PE exit activity since 2022. We see this as an indication that extended hold times are forcing sellers’ hands on valuation. Positive momentum from Waystar’s successful IPO and R1 RCM’s buyout in November may also be spurring exit activity for PE-backed firms.
- In Q1, top areas of deal activity were home-based care (18 deals), dental (12 deals), and MSK (9 deals). While home-based care and dental have seen ongoing momentum, MSK made a surprising appearance near the top of the table. Still, we see scope for continued investor interest—MSK remains an underappreciated driver of overall care costs and could benefit from greater visibility with digital health platform Hinge Health’s planned IPO.

Click [here](#) to download our healthcare services taxonomy, which includes definitions, key investment drivers, and sector risks. Download the complete Excel dataset, including deal activity charts for over 60 segments and subsegments, [here](#).

In case you missed it, explore our other recently published reports:

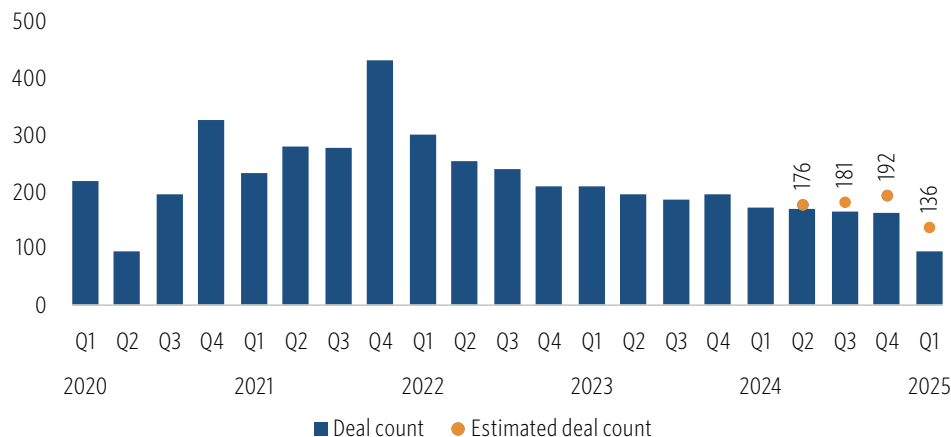
[Q4 2024 Healthcare Services PE Update](#)

[Q4 2024 Healthcare IT PE Update](#)

[Q4 2024 Healthtech VC Trends](#)

PE update

Healthcare services PE deal count by quarter



Source: PitchBook • Geography: US and Canada • As of March 31, 2025

While we noted our lack of optimism for PE healthcare services dealmaking in last quarter's update, Q1 activity fell short of even our very modest expectations, as estimated deal volume dropped to its lowest level since the pandemic-induced crash in 2020. Even accounting for the inherent variability of estimated transactions, it is clear the sector is off to a sluggish start so far in 2025. Across the healthcare landscape, the "cautious optimism" we [observed at the J.P. Morgan Healthcare Conference](#) has faded, replaced by rising volatility, macroeconomic uncertainties, and market-roiling tariff announcements. And while this report analyzes Q1 dealmaking, we suspect the second quarter is also off to a difficult start. Market conditions would need to improve significantly for full-year activity to exceed 2024 levels, which were already relatively muted. On a more positive note, nonprofit hospital margins have finally begun to meaningfully recover and now sit above 2023 levels, though they remain below pre-pandemic benchmarks.¹

Although healthcare services dealmaking took a hit in Q1, the sector outperformed major indexes, with CVS Health, Alignment Healthcare, The Oncology Institute, and Agilon Health each posting gains of over 50%, even as the S&P 500 and Nasdaq fell 5% and 10%, respectively. Despite meaningful headwinds for dealmaking, we see potential for relative outperformance given the sector's lower exposure to tariff risks compared with more import-dependent industries. That said, challenges remain for hospitals and health systems. While labor pressures are finally beginning to ease, tariffs could drive a new round of margin compression. From a valuation standpoint, the gap between previously premium subsectors—such as value-based care, behavioral health, and home-based care—has largely closed. These segments now trade in line with broader sector averages, creating more balanced entry points for investors.

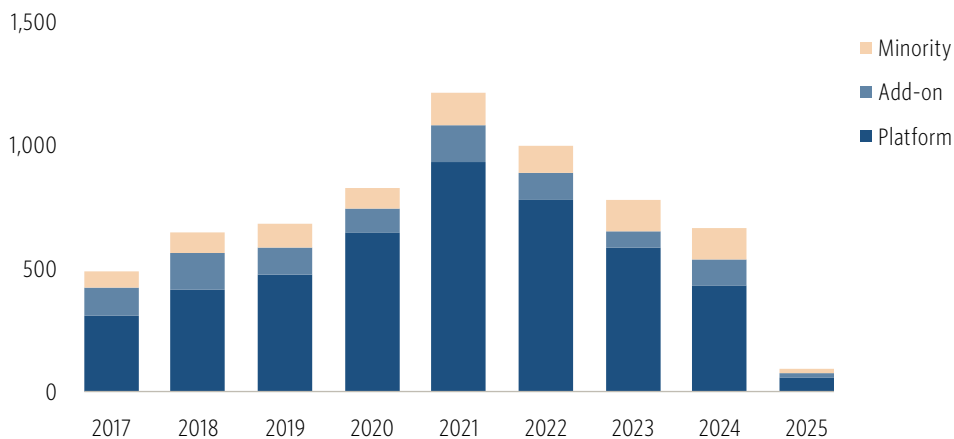
One of the quarter's most notable developments was Sycamore Partners' \$10 billion take-private of Walgreens Boots Alliance, expected to close in Q4. While significant in scale, the deal underscores long-term headwinds in retail pharmacy, spotlighting

¹: "Nonprofit Hospital Margins Flipped Positive in 2024: Fitch," *Fierce Healthcare*, Dave Muoio, March 27, 2025.

Walgreens' ongoing operational challenges and failure to diversify revenue streams. Postacquisition, we expect Sycamore to shutter underperforming stores and pursue carveouts, mirroring its approach with Staples—moves that may further accelerate pharmacy share gains by Amazon, Walmart, and emerging digital-first players.

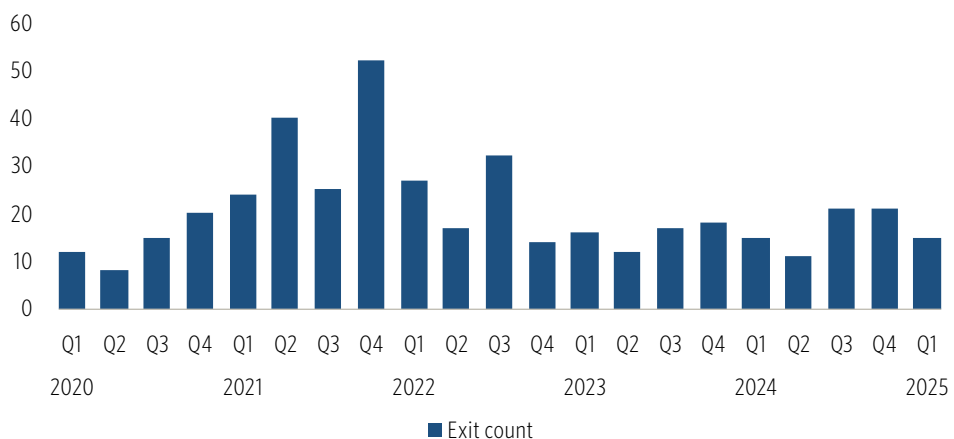
We suspect market volatility could revive a potential PE acquisition of eyecare leader Bausch + Lomb. The company was previously in discussions with several buyers but announced in February that a sale would not proceed.² Since then, Bausch + Lomb's market cap has declined significantly, with shares now trading at their lowest level since the firm's 2022 spin-off. An acquisition at prior offer levels would now represent a larger premium. And with parent company Bausch Health facing significant debt-related pressures, a sale of Bausch + Lomb could offer a clear path to deleveraging, representing an appealing proposition in a volatile market environment where highly leveraged companies are increasingly unattractive to investors.

Healthcare services PE deal count by type



Source: PitchBook • Geography: US and Canada • As of March 31, 2025

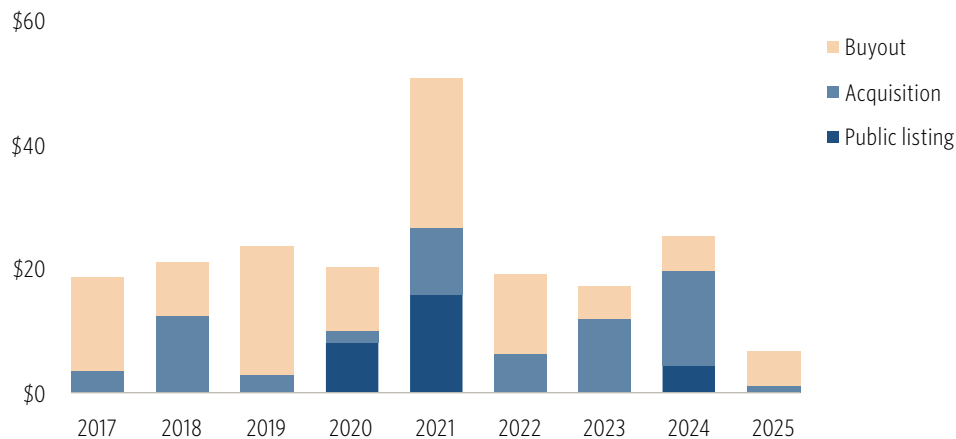
Healthcare services PE exit count by quarter



Source: PitchBook • Geography: US and Canada • As of March 31, 2025

2: "Bausch + Lomb Provides Update on Potential Sale," Business Wire, Bausch + Lomb, February 6, 2025.

Healthcare services PE exit value (\$B) by type



Source: PitchBook • Geography: US and Canada • As of March 31, 2025

Other highlights from the quarter:

- Public listings in healthcare services have screeched to a halt—there has been no major IPO in the sector since Guardian Pharmacy Services' September 2024 listing.
- Bain Capital made an unsolicited \$3.2 billion offer for Surgery Partners, the third-largest ambulatory surgery center (ASC) operator. ASCs remain relatively independent, with over 60% still unaffiliated as of 2023.³ However, Surgery Partners' current price of around \$21 per share implies a relatively low likelihood of the deal closing, as it was priced at \$25.75 per share.
- Real estate investment trust Welltower acquired Canadian senior living provider Amica Senior Lifestyles for \$3.2 billion, delivering a strong 8x return for the Ontario Teachers' Pension Plan.⁴
- WindRose Health Investors and Court Square Capital Partners announced the acquisition of Soleo Health through a \$1.1 billion LBO on January 31—a notable exit for previous owner H.I.G. Capital.
- In January, BrightSpring Health Services announced an agreement to divest its community-living business to Sevia for \$835 million as the firm looks to focus on its pharmacy and provider businesses. The divestment was transacted at a very reasonable 15x EV/EBITDA multiple.⁵

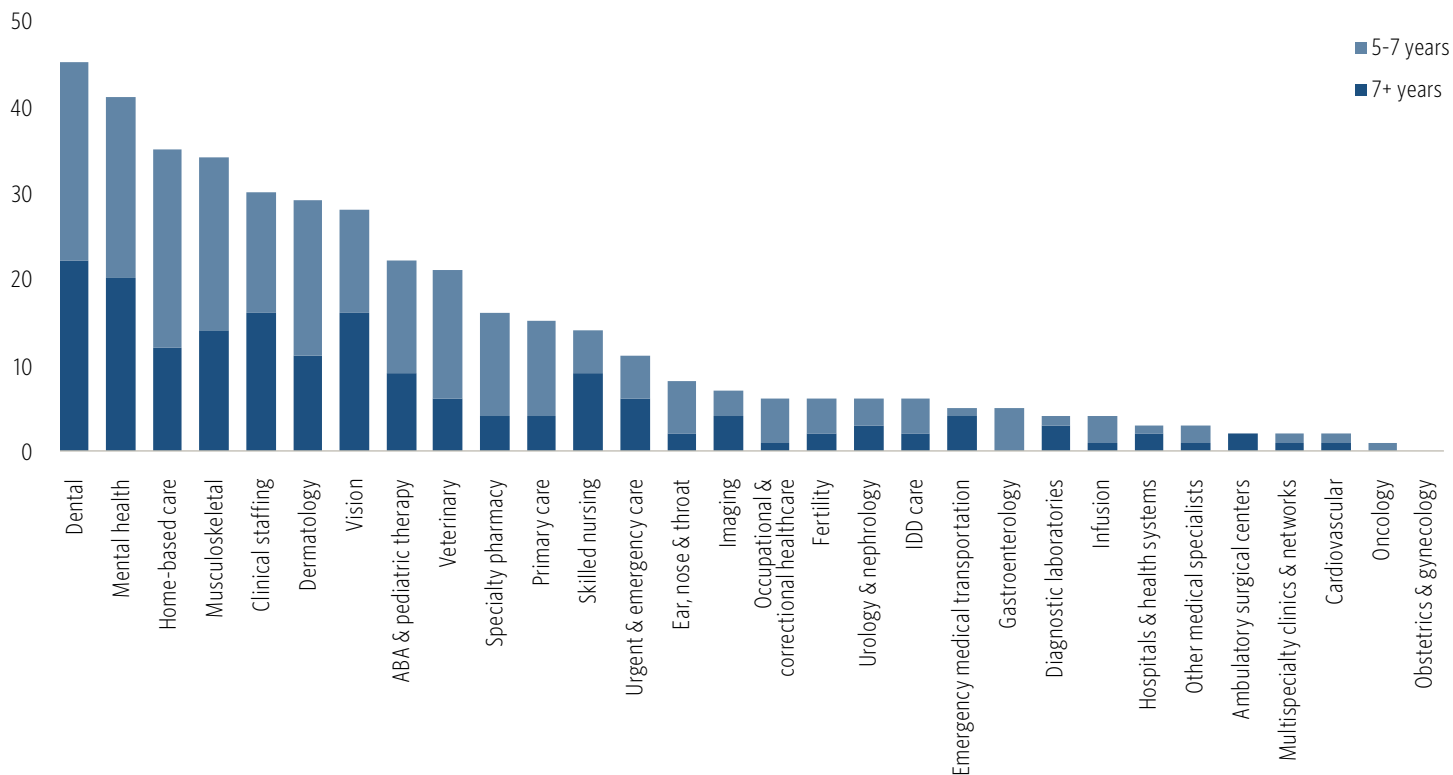
3: "Why Bain Capital's \$3.2B Bid for Surgery Partners Could 'Glaringly Outline' PE's Impact," Becker's ASC Review, Patsy Newitt, February 6, 2025.

4: "Ontario Teachers' Makes Nearly 8-Fold Gain From C\$4.6B Amica Sale," Chief Investment Officer, Michael Katz, March 10, 2025.

5: "Behind BrightSpring's \$835M Community Living Service Divestiture to Sevia," Hospice News, Holly Vossell, January 27, 2025.

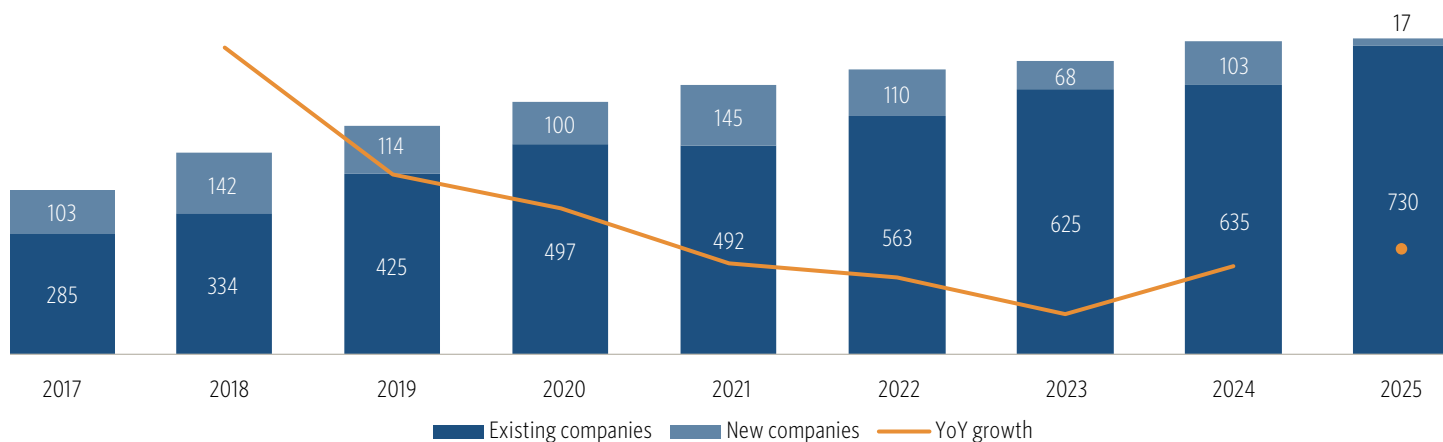
Appendix

PE-backed healthcare services company count by subsegment and hold time



Source: PitchBook • Geography: US and Canada • As of March 31, 2025

Healthcare services PE company inventory



Source: PitchBook • Geography: US and Canada • As of March 31, 2025

Most acquisitive PE-backed healthcare services platforms since 2021

Platform	Add-on count
Southern Veterinary Partners	139
Specialized Dental Partners	55
Smile Doctors	53
Southern Orthodontic Partners	39
Veterinary Practice Partners	33
Retina Consultants of America	27
U.S. Oral Surgery Management	27
Ivy Rehab Network	24
MB2 Dental	23
Dental365	23
Unifeye Vision Partners Management	20
PetVet Care Centers	20
Cardiovascular Associates of America	20
DermCare Management	19
EyeSouth Partners	19

Source: PitchBook • Geography: US and Canada • As of March 31, 2025